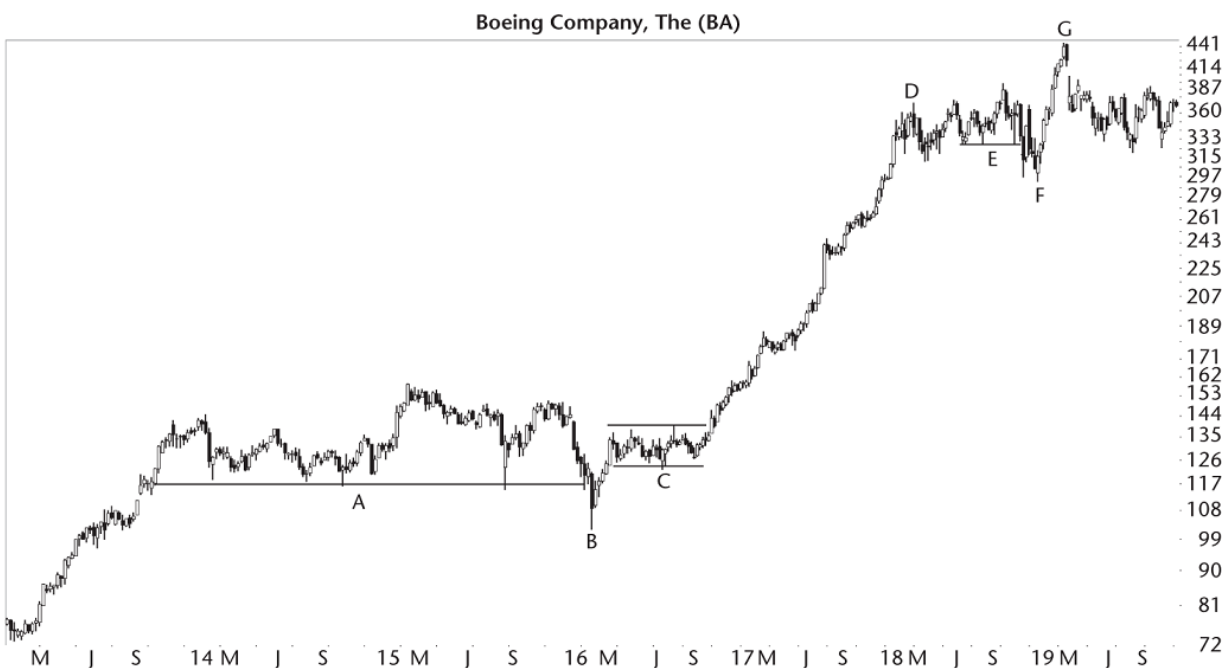


Returning to the figure, the stock started out low on the left of the chart and climbed to the right, doubling in value. If you were to ride this chart like a rollercoaster, you might exit the ride and stumble around, feeling queasy.

When I looked at [Figure 1.1](#), I wasn't thinking of buying the dip, but that's what I saw. Price moved horizontally at A (if you ignore the few downward price spikes, the bottom of the portion is reasonably flat) followed by a strong and quick plunge to B. After B, the stock recovered quickly to C and bobbed up and down, eventually rising into the clouds at D.

I put the chart aside and flipped to the next stock that caught my attention. [Figure 1.2](#) shows what I found (weekly chart, again). My software (which I wrote) groups charts by industry so I can get a sense of how the industry is behaving. I had moved from advertising ([Figure 1.1](#)) to airline stocks ([Figure 1.2](#)).



[Figure 1.2](#) A diving board on the weekly scale leads to the stock climbing strongly.

There's the same pattern shown on this chart!

Point A is a flat base, lasting a long time (over 2 years). A plunge follows, taking the stock down fast to B, and then it recovers. This time, the stock zipped up (B to C) but went sideways in 2016 for about 6 months (C)